NEWS RELEASE

TSX: CBY

Investor Contact: Nick Boland,
VP Investor Relations: 416-926-2005
Media Contact: 416-926-2020

Canada Bread Reports Results for the Second Quarter 2012

Toronto, Ontario – August 1, 2012…Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the second quarter ended June 30, 2012. Second quarter highlights include:

- Adjusted Operating Earnings[(1)] for the second quarter were $37.4 million compared to $35.1 million last year, an increase of 7%
- Net earnings for the quarter were $26.8 million compared to $14.9 million last year
- Adjusted EPS[(2)] for the quarter was $1.09, up from $0.97 in the second quarter of 2011

"Our results improved from last year and significantly from a weak first quarter, reflecting some improvement in volume and the benefit of price increases in our Frozen Bakery segment to manage higher costs," said Richard Lan, President and CEO. "While the bread category continues to be soft in both North America and the U.K., we will continue to manage this through proactive sales strategies, product innovation and cost reduction."

(1): Adjusted Operating Earnings, a non-IFRS measure, is defined as earnings from operations before restructuring and other related costs and other income (expense).

(2): Adjusted Earnings per Share ("Adjusted EPS"), a non-IFRS measure, is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in this news release.

Financial Overview

Sales for the second quarter were $404.9 million compared to $406.2 million last year. After adjusting for the closure of a bakery and related exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 1%. The increase was mainly due to stronger volumes and selling prices in the North American frozen bakery operations.

Adjusted Operating Earnings for the second quarter of $37.4 million were 7% higher compared to earnings of $35.1 million last year as improved pricing, sales mix, and volumes in the Frozen Bakery segment were partially offset by higher inflationary costs and spending in the Fresh Bakery segment, largely attributable to the fresh pasta business.

Net earnings in the quarter were $26.8 million ($1.05 basic earnings per share) compared to $14.9 million ($0.59 basic earnings per share) last year and included $1.2 million in pre-tax restructuring costs (2011: $12.5 million). Adjusted earnings per share for the second quarter were $1.09 compared to $0.97 last year.

Business Segment Review

The following table summarizes sales by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$279,164**	$282,364	**$527,347**	$537,449
Frozen Bakery	**125,697**	123,881	**247,758**	240,556
Total Sales	**$404,861**	$406,245	**$775,105**	$778,005

The following table summarized Adjusted Operating Earnings by business segment:

(Unaudited)	Second Quarter		Year-to-Date	
($ thousands)	**2012**	2011	**2012**	2011
Fresh Bakery	**$30,507**	$33,211	**$37,775**	$51,196
Frozen Bakery	**6,922**	1,892	**8,415**	631
Adjusted Operating Earnings	**$37,429**	$35,103	**$46,190**	$51,827

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the second quarter of $279.2 million were 1% lower than sales of $282.4 million last year, primarily due to increased feature pricing activity in the fresh bakery business and lower volumes in the fresh pasta business. Volumes in the fresh bakery business were comparable to last year.

Adjusted Operating Earnings in the second quarter declined 8% to $30.5 million compared to $33.2 million last year. While results in the fresh bakery business were consistent with last year, there was a significant improvement from the first quarter of 2012 as a result of increased promotional and marketing activities and warm summer weather. However, an underlying decline in consumer demand continues to impact results. Included in results are $0.8 million in duplicative overhead costs related to the commissioning of a new fresh bakery in Hamilton, Ontario and which are expected to continue until early 2013. The Company expects the new bakery to be accretive to operating earnings commencing in 2013, with the closure of the third Toronto bakery and as volumes consolidate into the new

Hamilton facility. Results from the fresh pasta business declined due to higher inflationary and operational costs, and increased advertising and promotional spending.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the second quarter were $125.7 million compared to $123.9 million in 2011. After adjusting for the closure of a bakery and related exit of unprofitable categories in the U.K. and currency translation on sales in the U.S. and U.K., sales increased 5%. The sales increase was mainly due to stronger volumes and selling prices in the North American frozen bakery operations.

Adjusted Operating Earnings in Frozen Bakery for the second quarter of 2012 were $6.9 million compared to $1.9 million last year. Profitability continued to improve due to higher pricing and volumes in the North American frozen bakery operations, an improved sales mix in the U.K., and lower overhead costs resulting from the closure of the Walsall, U.K. bakery in the first quarter of 2012. These benefits were partially offset by higher inflationary costs.

Other Matters

On July 31, 2012, Canada Bread declared a dividend of $0.50 per share payable on October 1, 2012 to shareholders of record at the close of business on September 7, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Reconciliation of Non-IFRS Financial Measures

The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following tables reconcile earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the unaudited earnings for the three and six months ended, as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results during the period.

(Unaudited)	Three months ended June 30, 2012		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$26,775**
Income taxes			**10,407**
Earnings from operations before income taxes			**37,182**
Interest expense			**391**
Earnings from operations before interest and income taxes	**30,651**	**6,922**	**37,573**
Other income	**(1,349)**	**-**	**(1,349)**
Restructuring and other related costs	**1,205**	**-**	**1,205**
Adjusted Operating Earnings	**$30,507**	**$6,922**	**$37,429**

(Unaudited)	Three months ended June 30, 2011		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$14,904
Income taxes			7,388
Earnings from operations before income taxes			22,292
Interest expense			264
Earnings from operations before interest and income taxes	30,760	(8,204)	22,556
Restructuring and other related costs	2,451	10,096	12,547
Adjusted Operating Earnings	$33,211	$1,892	$35,103

(Unaudited)	Six months ended June 30, 2012		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			**$27,614**
Income taxes			**12,030**
Earnings from operations before income taxes			**39,644**
Interest expense			**828**
Earnings from operations before interest and income taxes	**36,063**	**4,409**	**40,472**
Other (income) expense	**(1,580)**	**209**	**(1,371)**
Restructuring and other related costs	**3,292**	**3,797**	**7,089**
Adjusted Operating Earnings	**$37,775**	**$8,415**	**$46,190**

(Unaudited)	Six months ended June 30, 2011		
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Consolidated**
Net earnings			$13,938
Income taxes			4,767
Earnings from operations before income taxes			18,705
Interest expense			603
Earnings from operations before interest and income taxes	39,228	(19,920)	19,308
Other income	(78)	-	(78)
Restructuring and other related costs	12,046	20,551	32,597
Adjusted Operating Earnings	$51,196	$631	$51,827

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

($ per share)	Three months ended June 30,		Six months ended June 30,	
(Unaudited)	**2012**	2011	**2012**	2011
Basic Earnings per Share	**$1.05**	$ 0.59	**$1.09**	$ 0.55
Restructuring and other related costs[(i)]	**0.04**	0.38	**0.21**	0.98
Adjusted Earnings per Share[(ii)]	**$1.09**	$ 0.97	**$1.30**	$ 1.53

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and

similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2011 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.



Condensed Consolidated Interim Financial Statements
(Expressed in Canadian dollars)
(Unaudited)

CANADA BREAD COMPANY, LIMITED

Three and six months ended June 30, 2012 and 2011

Consolidated Balance Sheets

(In thousands of Canadian dollars)	**As at June 30, 2012**	As at June 30, 2011	As at December 31, 2011
	(Unaudited)	(Unaudited)	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 83,631**	$ 20,671	$ 59,223
Accounts receivable	**45,363**	48,823	56,522
Note receivable	**39,766**	83,755	45,847
Inventories	**59,770**	53,037	60,048
Income and other taxes recoverable	**2,875**	7,066	2,162
Prepaid expenses and other assets	**2,481**	7,937	5,218
	$ 233,886	$ 221,289	$ 229,020
Property and equipment	**416,690**	401,387	425,944
Investment property	**9,522**	8,389	8,415
Employee benefits	**-**	691	-
Other long-term assets	**4,405**	4,134	4,456
Deferred tax asset	**15,974**	12,654	17,917
Goodwill	**266,050**	261,590	266,013
Intangible assets	**12,274**	13,335	12,710
Total assets	**$ 958,801**	$ 923,469	$ 964,475
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 1,595**	$ -	$ 3,153
Accounts payable and accruals	**176,950**	183,157	185,811
Provisions	**11,642**	23,004	23,066
Due to Maple Leaf Foods Inc.	**4,047**	3,347	2,451
Dividends payable	**12,708**	5,083	5,083
Current portion of long-term debt	**264**	2,323	2,452
	$ 207,206	$ 216,914	$ 222,016
Long-term debt	**3,093**	1,675	1,634
Deferred tax liability	**19,480**	23,115	21,784
Employee benefits	**54,498**	35,333	50,434
Provisions	**5,047**	6,222	5,005
Other long-term liabilities	**-**	257	-
Total liabilities	**$ 289,324**	$ 283,516	$ 300,873
Shareholders' equity			
Share capital	**$ 142,965**	$ 142,965	$ 142,965
Retained earnings	**536,586**	517,455	530,852
Accumulated other comprehensive loss	**(10,074)**	(20,467)	(10,215)
Total shareholders' equity	**$ 669,477**	$ 639,953	$ 663,602
Total liabilities and shareholders' equity	**$ 958,801**	$ 923,469	$ 964,475

Consolidated Statements of Earnings

(In thousands of Canadian dollars,except share amounts) *(Unaudited)*	Three months ended June 30, 2012	2011	Six months ended June 30, 2012	2011
Sales	$ 404,861	$ 406,245	$ 775,105	$ 778,005
Cost of goods sold	319,419	321,798	627,908	621,215
Gross margin	$ 85,442	$ 84,447	$ 147,197	$ 156,790
Selling, general and administrative expenses	48,013	49,344	101,007	104,963
Earnings before the following:	$ 37,429	$ 35,103	$ 46,190	$ 51,827
Restructuring and other related costs	(1,205)	(12,547)	(7,089)	(32,597)
Other income	1,349	-	1,371	78
Earnings before interest and income taxes	$ 37,573	$ 22,556	$ 40,472	$ 19,308
Interest expense	391	264	828	603
Earnings before income taxes	$ 37,182	$ 22,292	$ 39,644	$ 18,705
Income taxes	10,407	7,388	12,030	4,767
Net earnings	$ 26,775	$ 14,904	$ 27,614	$ 13,938
Earnings per share				
Basic and diluted earnings per share	$ 1.05	$ 0.59	$ 1.09	$ 0.55
Weighted average number of shares (millions)	25.4	25.4	25.4	25.4

Consolidated Statements of Comprehensive Income

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended June 30, **2012**	2011	Six months ended June 30, **2012**	2011
Net earnings	**$ 26,775**	$ 14,904	**$ 27,614**	$ 13,938
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**2,861**	(26)	**563**	(5,516)
Change in unrealized gains and losses on cash flow hedges	**278**	250	**(422)**	(855)
Change in actuarial gains and losses	**(2,823)**	-	**(4,123)**	-
	$ 316	$ 224	**$ (3,982)**	$ (6,371)
Comprehensive income	**$ 27,091**	$ 15,128	**$ 23,632**	$ 7,567

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars) *(Unaudited)*	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	-	**27,614**	-	**27,614**
Other comprehensive (loss) income	-	**(4,123)**	**141**	**(3,982)**
Dividends declared ($0.70 per share)	-	**(17,757)**	-	**(17,757)**
Balance at June 30, 2012	**$ 142,965**	**$ 536,586**	**$ (10,074)**	**$ 669,477**

(In thousands of Canadian dollars) *(Unaudited)*	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net earnings	-	13,938	-	13,938
Other comprehensive loss	-	-	(6,371)	(6,371)
Dividends declared ($0.26 per share)	-	(6,609)	-	(6,609)
Balance at June 30, 2011	**$ 142,965**	**$ 517,455**	**$ (20,467)**	**$ 639,953**

Consolidated Statements of Cash Flows

(In thousands of Canadian dollars) *(Unaudited)*	Three months ended June 30, **2012**	2011	Six months ended June 30, **2012**	2011
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 26,775**	$ 14,904	**$ 27,614**	$ 13,938
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,591**	11,407	**23,940**	23,614
Deferred income taxes	**1,350**	(480)	**1,368**	(3,662)
Income tax current	**9,057**	7,868	**10,662**	8,429
Interest expense	**391**	264	**828**	603
(Gain) loss on sale of long-term assets	**105**	(4)	**(126)**	1
Change in provision for restructuring and other related costs	**(2,248)**	7,814	**(6,598)**	26,200
Decrease in pension liability	**(502)**	-	**(1,443)**	-
Net income taxes paid	**(3,836)**	(7,582)	**(10,391)**	(17,400)
Interest paid	**(495)**	(81)	**(854)**	(358)
Other	**266**	(2,125)	**416**	(2,984)
Change in non-cash operating working capital	**18,482**	(27,122)	**11,055**	(42,653)
Cash provided by operating activities	**$ 61,936**	$ 4,863	**$ 56,471**	$ 5,728
Financing activities				
Dividends paid	**$ (5,049)**	$ (1,525)	**$ (10,132)**	$ (3,050)
Repayment of long-term debt	**(788)**	-	**(788)**	-
Cash used in financing activities	**$ (5,837)**	$ (1,525)	**$ (10,920)**	$ (3,050)
Investing activities				
Additions to long-term assets	**$ (11,376)**	$ (34,071)	**$ (22,033)**	$ (63,628)
Capitalization of interest expense	**-**	(5)	**-**	(119)
Proceeds from sale of long-term assets	**29**	403	**2,448**	5,442
Other	**-**	(841)	**-**	(326)
Cash used in investing activities	**$ (11,347)**	$ (34,514)	**$ (19,585)**	$ (58,631)
Increase (decrease) in cash and cash equivalents	**$ 44,752**	$ (31,176)	**$ 25,966**	$ (55,953)
Net cash and cash equivalents, beginning of period	**37,284**	51,847	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 82,036**	$ 20,671	**$ 82,036**	$ 20,671
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$ 83,631**	$ 20,671	**$ 83,631**	$ 20,671
Bank indebtedness	**(1,595)**	-	**(1,595)**	-
Net cash and cash equivalents, end of period	**$ 82,036**	$ 20,671	**$ 82,036**	$ 20,671

Segmented Financial Information

	Three months ended June 30,		Six months ended June 30,	
	2012	2011	**2012**	2011
Sales				
Fresh Bakery	**$ 279,164**	$ 282,364	**$ 527,347**	$ 537,449
Frozen Bakery	**125,697**	123,881	**247,758**	240,556
	$ 404,861	$ 406,245	**$ 775,105**	$ 778,005
Earnings before restructuring and other related costs and other income				
Fresh Bakery	**$ 30,507**	$ 33,211	**$ 37,775**	$ 51,196
Frozen Bakery	**6,922**	1,892	**8,415**	631
	$ 37,429	$ 35,103	**$ 46,190**	$ 51,827
Capital expenditures				
Fresh Bakery	**$ 8,538**	$ 29,476	**$ 17,732**	$ 55,633
Frozen Bakery	**2,838**	4,595	**4,301**	7,995
	$ 11,376	$ 34,071	**$ 22,033**	$ 63,628
Depreciation and amortization				
Fresh Bakery	**$ 7,647**	$ 6,434	**$ 14,704**	$ 13,069
Frozen Bakery	**4,944**	4,973	**9,236**	10,545
	$ 12,591	$ 11,407	**$ 23,940**	$ 23,614

	As at June 30, 2012	As at June 30, 2011	As at December 31, 2011
Total assets			
Fresh Bakery	**$ 503,055**	$ 518,890	$ 516,485
Frozen Bakery	**352,594**	352,953	368,534
Non-allocated assets	**103,152**	51,626	79,456
	$ 958,801	$ 923,469	$ 964,475
Goodwill			
Fresh Bakery	**$ 125,892**	$ 125,892	$ 125,892
Frozen Bakery	**140,158**	135,698	140,121
	$ 266,050	$ 261,590	$ 266,013